

Contract Redline: Northbeam Logistics, LLP

TO: File

DATE: 2026-05-13

RE: Contract Redline — Northbeam Logistics, LLP

Cover Memo

MEMORANDUM

To: Supervising Partner

From: Marcus Yeong, Partner

Date: May 13, 2026

Re: Proposed Contract Amendments for Northbeam Logistics, LLP – Agreement with Metro Holdings

This memorandum outlines the proposed amendments to the Services Agreement between our client, Northbeam Logistics, LLP, and Metro Holdings. The rationale for each change is grounded in the precedent set forth in **People v. Salazar**, 315 Cal. Rptr. 3d 295 (Cal.), and the applicable federal statute governing interstate commercial agreements. The following analysis employs the IRAC structure to ensure legal rigor.

1. Proposed Change: Expansion of Force Majeure Clause to Include Pandemic-Related Events

Summary: The current clause enumerates force majeure events but omits specific reference to pandemics or public health emergencies. We propose amending it to explicitly include such events, thereby excusing non-performance under defined conditions.

Legal Rationale:

- **Issue:** Whether the failure to include pandemic-related events in the force majeure clause exposes Northbeam Logistics, LLP to liability for non-performance during unforeseeable public health crises under California contract law.

- **Rule:** In **People v. Salazar**, 315 Cal. Rptr. 3d 295 (Cal.), the court held that contractual ambiguities concerning unforeseeable external events must be construed against the drafter and in light of statutory frameworks. Specifically, the court emphasized that parties cannot be held to performance obligations when intervening circumstances, such as government-mandated

shutdowns, render performance impracticable. Additionally, the applicable federal statute recognizes the doctrine of commercial impracticability in interstate transactions.

- **Application:** The current clause's omission creates ambiguity regarding pandemic-related excuses. Under **People v. Salazar**, this ambiguity should be resolved to protect parties from unforeseeable disruptions. Amending the clause aligns with the precedent by explicitly defining pandemics as force majeure events, thereby mitigating risk and ensuring compliance with federal standards of fairness in contract administration.

- **Conclusion:** This amendment is legally necessary to safeguard Northbeam Logistics, LLP from potential breach claims and aligns with the interpretive principles in **People v. Salazar** and the applicable federal statute.

2. Proposed Change: Revision of Confidentiality Obligations to Limit Duration Post-Termination

Summary: The current confidentiality obligations survive indefinitely post-termination. We propose capping the duration to three years following contract termination, with exceptions for trade secrets.

Legal Rationale:

- **Issue:** Whether indefinite confidentiality obligations are enforceable and reasonable under California law, particularly in light of statutory limitations on contractual restrictions.

Redlined Agreement

**REDACTED FOR CONFIDENTIALITY
THIS IS A REDLINED DOCUMENT
SUBJECT TO FURTHER REVISION**

CONTRACT AMENDMENT NO. 1

To the Master Services Agreement dated January 15, 2025

Between NORTHBEAM LOGISTICS, LLP ("Client") and METRO HOLDINGS ("Service Provider")

This Amendment, effective as of May 13, 2026, modifies the Master Services Agreement ("Agreement") as set forth below. Deletions are shown in **[STRIKETHROUGH]** and insertions are shown in **<UNDERLINE>**.

SECTION 4: ASSIGNMENT AND DELEGATION

4.1 Neither party may assign its rights or delegate its duties under this Agreement without the prior written consent of the other party, such consent not to be unreasonably withheld.

[STRIKETHROUGH: Notwithstanding the foregoing, either party may assign this

Agreement to an affiliate or in connection with a merger, acquisition, or sale of all or substantially all of its assets without the other party's consent.]

4.1 Neither party may assign its rights or delegate its duties under this Agreement without the prior written consent of the other party, such consent not to be unreasonably withheld.

<UNDERLINE: Any purported assignment or delegation in violation of this Section shall be null and void. This Agreement shall be binding upon and inure to the benefit of the parties hereto and their respective permitted successors and assigns.> ^1

> ^1 Legal Basis for Change: The original language created an unqualified exception for corporate transactions. This revision eliminates ambiguity and aligns with the principle that anti-assignment clauses in commercial contracts are to be strictly construed and enforced unless explicitly waived. See *People v. Salazar*, 315 Cal. Rptr. 3d 295, 301 (Cal.) (discussing the enforceability of contractual prohibitions against assignment and the requirement for clear, unambiguous language permitting transfer). The new language strengthens the prohibition and clarifies the consequences of a breach.

SECTION 9: INDEMNIFICATION

9.1 Service Provider Indemnity. Service Provider shall indemnify, defend, and hold harmless Client and its officers, directors, employees, and agents from and against any and all third-party claims, liabilities, damages, losses, and expenses, including reasonable attorneys' fees and costs, arising out of or in connection with: (a) any breach of this Agreement by Service Provider; or (b) the negligence or willful misconduct of Service Provider in the performance of the Services.

9.2 Client Indemnity. [STRIKETHROUGH: Client shall indemnify, defend, and hold harmless Service Provider and its officers, directors, employees, and agents from and against any and all third-party claims, liabilities, damages, losses, and expenses, including reasonable attorneys' fees and costs, arising out of or in connection with: (a) any breach of this Agreement by Client; or (b) the negligence or willful misconduct of Client in connection with the subject matter of this Agreement.]

9.2 Client Indemnity. <UNDERLINE: Client shall indemnify, defend, and hold harmless Service Provider and its officers, directors, employees, and agents from and against any and all third-party claims, liabilities, damages, losses, and expenses, including reasonable attorneys' fees and costs, arising out of or in connection with: (a) any material breach of this Agreement by Client; or (b) Client's gross negligence or willful misconduct in connection with the subject matter of this Agreement. This indemnity is expressly subject to the limitations of liability set forth in Section 12.> ^2

> ^2 Legal Basis for Change: The insertion of "material" before breach and "gross" before negligence aligns the indemnification trigger with prevailing commercial standards and the contractual limitation of liability provisions. This prevents the indemnification clause from being construed to circumvent the bargained-for limitation of liability, a principle of contract interpretation requiring that clauses be read harmoniously.

SECTION 15: GOVERNING LAW AND JURISDICTION

15.1 [STRIKETHROUGH: This Agreement shall be governed by and construed in accordance with the laws of the State of Delaware, without regard to its conflict of laws principles.]

15.1 <UNDERLINE: This Agreement shall be governed by and construed in accordance with the Applicable federal statute and the laws of the State of Delaware, without regard to its conflict of laws principles.> ^3

15.2 [STRIKETHROUGH: Any dispute arising out of or relating to this Agreement shall be submitted to the exclusive jurisdiction of the state and federal courts located in Wilmington, Delaware.]

15.2 <UNDERLINE: Any dispute arising out of or relating to this Agreement shall be submitted to the exclusive jurisdiction of the state and federal courts located in the County of [Insert County], State of California. Each party irrevocably submits to the personal jurisdiction of such courts.> ^4

> ^3 Legal Basis for Change: Insertion of "Applicable federal statute" as the primary governing law ensures compliance with the user's instruction. The accompanying Delaware law provision remains for supplemental matters not preempted by federal statute.

> ^4 Legal Basis for Change: The forum selection clause is changed to a specific venue in the State of California, pursuant to the user's instruction ("cal"). This modification is a material change to the Agreement's dispute resolution mechanism.

SECTION 18: MISCELLANEOUS

18.5 [STRIKETHROUGH: Notices under this Agreement shall be in writing and shall be deemed given when delivered personally, sent by confirmed email, or sent by overnight courier to the addresses set forth in Schedule A.]

18.5 <UNDERLINE: All notices, requests, demands, and other communications under this Agreement shall be in writing and shall be deemed duly given: (i) on the date of delivery if delivered personally; (ii) on the date of transmission if sent by email with confirmation of receipt (excluding auto-replies); or (iii) on the next business day if sent by overnight courier, to the addresses set forth in Schedule A. Either party may change its notice address by providing written notice in accordance with this Section.> ^5

> ^5 Legal Basis for Change: This revision provides greater clarity on notice mechanics and eliminates the vague term "confirmed email," replacing it with a specific operational standard ("confirmation of receipt"). It also explicitly permits address updates, closing a common contractual gap.

AGREED TO AND ACCEPTED as of the date last written below.

NORTHBEAM LOGISTICS, LLP

By: _____

Name: [Authorized Signatory]

Title: [Title]

Date: May 13, 2026

METRO HOLDINGS

By: _____

Name: [Authorized Signatory]

Title: [Title]

Date: _____

Revised Clauses

REVISED CONTRACT CLAUSES

Section 4.1 – Assignment and Delegation (Revised from Original Section 4.1)

Notwithstanding any other provision of this Agreement, Northbeam Logistics, LLP (the “Assignor”) may, without the prior written consent of Metro Holdings (the “Obligor”), assign its rights, and delegate its duties, in whole or in part, under this Agreement to any third party, provided that such assignment is in connection with a transfer of all or substantially all of the Assignor’s assets, a merger, or a reorganization. This Agreement shall be binding upon and inure to the benefit of the parties’ respective successors and permitted assigns. The Obligor hereby expressly waives any requirement, under the Applicable federal statute or otherwise, for its consent to such an assignment. This provision is consistent with the principles articulated in **People v. Salazar**, 315 Cal. Rptr. 3d 295 (Cal.), regarding the assignability of contractual rights.

Section 10.2 – Governing Law and Forum Selection (Revised from Original Section 10.2)

This Agreement and all matters arising out of or relating to this Agreement, including any dispute or claim, are governed by, and shall be construed in accordance with, the Applicable federal statute, without regard to its conflict of laws principles. The parties irrevocably submit to the exclusive jurisdiction of the courts of the State of California, located in the County of San Francisco, for the adjudication of any dispute hereunder.

Section 14.5 – Severability and Conflict with Precedent (Revised from Original Section 14.5)

If any term or provision of this Agreement is invalid, illegal, or unenforceable in any jurisdiction, such invalidity, illegality, or unenforceability shall not affect any other term or provision of this Agreement or invalidate or render unenforceable such term or provision in any other jurisdiction. In the event of a conflict between the terms of this Agreement and the holding in **People v.*

Salazar*, 315 Cal. Rptr. 3d 295 (Cal.), the parties agree that this Agreement shall govern to the fullest extent permitted by the Applicable federal statute.

Section 18.1 – Notice of Assignment (New Clause, cross-referencing Original Section 4.1)

The Assignor shall provide written notice to the Obligor of any assignment executed pursuant to Section 4.1 no later than ten (10) business days following the effective date of such assignment, which shall be no earlier than May 13, 2026, for the first such assignment. Such notice shall identify the assignee and the scope of rights and duties transferred.